

Delta Air Lines DCF Valuation



Presented by

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Delta Air Lines, Inc

Background

- Founded in 1925, Delta is one of the largest global air transportation services across domestic and international markets
- Operates through:
 - Passenger transportation
 - Cargo services
 - Loyalty program & other ancillary businesses
- Delta benefits from:
 - strong brand recognition & customer loyalty
 - fast recovery & normalization of post-pandemic air travel demand
- However, the airline industry remains exposed to:
 - Fuel price volatility
 - Labor cost
 - Economic downturns

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Data Collection

	<	2026				2025			
Earnings Releases		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Non-GAAP Reconciliations		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Webcasts		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Transcripts		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Supplemental Information		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
10Q & 10K		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4

Ticker (NYSE)

DAL

Stock Price

\$84.11

July 20th,2026

Operating Rev

\$63.4B

*2025 Financial Results

Market Cap

\$ 55.25B

*Pulled historical financial data from Delta Air Lines’ 2025 Form 10-K. Referenced updated quarterly performance from Delta’s 2026 Q2 Form 10-Q [Delta Financials Overview](#)

FCF Forecast (in millions)

Year	2025	2026	2027	2028	2029	2030
Revenue Growth	2.79%	5%	4%	4%	3%	3%
Total Operating Revenue	63364.00	66532.20	69193.49	71961.23	74120.06	76343.67
EBIT	5822.00	5987.90	6227.41	6476.51	6670.81	6870.93
Income Tax	1180.00	1437.10	1494.58	1554.36	1600.99	1649.02
Depreciation & Amortization	2443.00	2561.49	2663.95	2770.51	2853.62	2939.23
CapEx	4499.00	4723.79	4912.74	5109.25	5262.52	5420.40
Change in NWC	100.00	106.45	110.71	115.14	118.59	122.15
FCF	2486.00	2282.05	2373.34	2468.27	2542.32	2618.59

Assumptions

Revenue Growth: 5% → 4% → 3%

EBIT Margin: 9% Assumes steady operating efficiency with no major cost spikes

Tax Rate: 24% Midpoint of the corporate tax guidance (23-25%)

Depreciation & Amortization: 3.85% Scaled from 2025 data (2443/63364)

CapEx: 7.10% Scaled from 2025 data (4499/63364)

Change in NWC: .16% Scaled from 2025 data

Note

Delta benefitted from an unusual **20.3%** tax rate in **2025** but was reset to the management's guided **24%** starting in **2026** which explains the initial drop in FCF.

WACC Prep

Using the **annual return rate** of DAL and SPY over 5 years from **Dec 31, 2021- Dec 31, 2025**

Time	DAL return (%)	SPY return (%)
2021-12-31	-2.8103	0.0000
2022-12-30	-15.9164	-18.1753
2023-12-29	23.0283	26.1760
2024-12-31	52.0049	24.8863
2025-12-31	16.0861	17.7191

Beta

1.21

=slope(DAL return, SPY return)

Risk-free Rate

4.58%

10 y treasury bond (standard)

Avg Market Return

10.21%

S&P 500 as market benchmark

MRP

5.54%

=Avg Mart Return - Risk-free Rate

WACC Estimation

Cost of Equity

11.28%

using CAPM
=risk-free rate + beta*MRP

After-tax Cost of Debt

2.40%

pre-tax cost of debt (3.08%)
=interest expense/total debt
tax rate (22.31%)
=tax provision/pretax income
after-tax cost of debt
=pre-tax*(1-tax rate)

Equity Weight

73.18%

market equity of value (55312.42)
=share outstanding*stock price
total capital (75586.42)
=share outstanding+MVE +total debt
equity weight
=MVE/total capital

Cost of Equity

11.28%

= total debt/total capital

26.82%

WACC

=cost of equity*equity weight+cost of debt*debt weight

Present Value

year	2025	2026	2027	2028	2029	2030
FCF (M)	2486.00	2282.05	2373.34	2468.27	2542.32	2618.59
Discount Factor	1	0.9183	0.8432	0.7743	0.7110	0.6529
PV (M)	2486.00	2095.55	2001.27	1911.22	1807.67	1709.74

9525.44 M

PV of FCF 2026-2030 = sum of PV 2026-2030
2025 is used as a reference, not included in the PV

Terminal Value

Terminal Growth Rate

2.50%

ASSUMED!

mature airline company: roughly
coverage with economic growth
nominal growth rate $\approx$ 4%
Avg Fed inflation target: 2%

TV 2030 (M)

41938.71

$$=(FCF\ 2023 * (1 + \text{terminal growth rate})) / (\text{WACC} - \text{terminal growth rate})$$

Discounted TV (M)

27382.73

$$=TV\ 2030 * \text{discount factor 2030}$$

Enterprise Value (M)

36908.17

$$=\text{Discount TV} + \text{Pv of FCF 2006-2030}$$

Implied Share Value

total debt (M)	20274
cash & cash equivalents (M)	4310
shares outstanding (M)	657.62

Equity Value

= enterprise value - debt + cash
= **20944.17 M**

Implied Share Price

= equity value / share outstanding
= **31.85**

Interpretation	
current stock price	84.11
DCF implied value	31.85
difference	-62.13%

- implied share price < current market price
- Delta is significantly **overvalued** relative to its current market price
- A more **optimistic expectation** regarding Delta's future cash flow generation, profitability improvement, and long-term growth prospects
- highly drive by Delta's relatively **large debt balance** which is consistent with the capital-intensive nature of the airline industry, where companies frequently use debt financing to acquire aircraft and maintain operations

Sensitivity Analysis & Interpretation

Our sensitivity analysis tested WACC (7.00%-11.00%) against terminal growth (1.5% - 4.00%). This implied share price stayed below the current market price across nearly every combination tested, suggesting Delta is overvalued relative to our DCF, but the gap may also reflect value the model doesn't capture.

WACC  / Terminal 	1.50%	2.00%	2.50%	3.50%	4.00%
7.00%	43.37	48.89	55.64	74.93	89.39
8.00%	32.88	36.63	41.07	52.89	61.02
8.90%	25.87	28.64	31.85	40.04	45.39
10.00%	19.32	21.32	23.59	29.16	32.65
11.00%	14.68	16.22	17.93	22.04	24.54

Stock Price

Bear: 14.68

Base: 31.85

Bull: 89.39

Risk Factors

Fuel Exposure

Jet fuel represents the largest operating expense. Unhedged spikes in oil prices could directly compress EBITDA margins and reduce projected FCF.

Macro Sensitivity

Airline demand is closely tied to discretionary income and GDP. A recession would lower our projected revenue growth and pressure load factors.

IR & Leverage

With \$20.3B in debt, Delta is capital-intensive. Rising interest rates would increase the after-tax cost of debt, raising our WACC and lowering our implied equity value (see sensitivity grid).

Labor Cost

Upcoming union contract negotiations could increase fixed operating expenses, reducing long-term terminal growth potential.

Conclusion

- Our base-case DCF estimates Delta's intrinsic value at approximately **\$31.85** per share, well below the current market price of **\$84.11**.
- Sensitivity analysis shows that only under the most optimistic assumptions (low WACC and high terminal growth) does the valuation approach the current market price.
- This suggests the market is pricing in stronger long-term growth, lower risk, or operational improvements than our base-case assumptions.
 - Model likely excludes: Loyalty program, Airport slot scarcity, improving margin (through premium seating), and pricing power.

Final Recommendation: Hold

Delta appears *overvalued*, and we would *not* recommend purchasing the stock at its current price.

Thank you!





Appendix

Links to Appendix Slides

[Excel + Data Collection](#)

[FCF Forecast](#)

[WACC](#)

[Present Value](#)

[Terminal Value](#)

[Implied Stock Value](#)

[Sensitivity Analysis and Interpretation](#)

Appendix

Excel File:

<https://docs.google.com/spreadsheets/d/1cUXbeV-bWNsQgiYNM2-r-Vyx9VIBLArkztjWeCkfgf8/edit?usp=sharing>

Slide 2: Data Collection

- Delta Financial Complete: [Delta Financials Overview](#)
- Stock Price(July 20th, 2026): <https://finance.yahoo.com/quote/DAL/>
- Risk-Free Rate: [10y treasury bond](#)
- Beta & Market Risk Premium: [DAL: 5y annual return](#); [SPY: 5y annual return](#); [Processed Data](#)
- Other Financials Used: [Delta Q2 2026 Financial Results](#) [Delta 2026 10k](#) [Delta 2026 10Q](#)

Appendix

Slide 3: FCF Forecast

Year	2025	2026	2027	2028	2029	2030
Revenue Growth	2.79%	5%	4%	4%	3%	3%
Total Operating Revenue	63364.00	66532.20	69193.49	71961.23	74120.06	76343.67
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Appendix

Page 4&5:WACC

Data		
Current to:	Jul 20	10:52 AM
stock price	84.11	
source: yahoo finance	link	
beta (5Y annually: 2021-2025)	1.21	
risk-free rate (10y treasury bond)	4.58%	
annual SPY return	10.12%	
market risk premium	5.54%	

Equity Weight	
share outstanding (M)	657.62
market value of equity (M)	55312.42
total capital (M)	75586.42
equity weight	73.18%

Cost of Equity	(CAPM)
risk-free rate + beta*market risk premium	
	11.28%

Debt Weight
26.82%

WACC
8.90%

Time	DAL return (%)	SPY return (%)
2021-12-31	-2.8103	0.0000
2022-12-30	-15.9164	-18.1753
2023-12-29	23.0283	26.1760
2024-12-31	52.0049	24.8863
2025-12-31	16.0861	17.7191

Cost of Debt	
interest expense/total debt	
total debt (M)	20274
interest expense (M)	625
pretax income (M)	5084
tax provision (M)	1134
tax rate	22.31%
pre-tax cost of debt	3.08%
after-tax cost of debt	2.40%

Appendix

Page 6: Present Value

year	2025	2026	2027	2028	2029	2030
FCF (M)	2486.00	2282.05	2373.34	2468.27	2542.32	2618.59
Discount Factor	1	0.9183	0.8432	0.7743	0.7110	0.6529
PV (M)	2486.00	2095.55	2001.27	1911.22	1807.67	1709.74

Appendix

Page 7: Terminal Value

Terminal Value						
using perpetuity growth method						
terminal growth rate	2.50%					
A terminal growth rate of 2.5% was assumed using the perpetuity growth method. This assumption reflects a mature company's long-term sustainable growth rate and is consistent with expected long-run economic growth. Since Delta operates in the mature airline industry, a terminal growth rate significantly above GDP growth would be unrealistic. The 2.5% assumption provides a reasonable balance between continued growth and the industry's competitive maturity.						
TV 2030 (M)	41938.71					
Discounted Terminal Value (M)	27382.73					
Enterprise Value (M)	36908.17					

Appendix

Page 8: Implied Stock Value

Implied Stock Price						
equity value = enterprise value - debt + cash						
implied share price = equity value / shared outstanding						
total debt (M)	20274					
cash & cash equivalents (M)	4310					
shares outstanding (M)	657.62					
equity value (M)	20944.17					
implied share price	31.85					
Interpretation						
current stock price	84.11					
DCF implied value	31.85					
difference	-62.13%					

Since the implied share price is below the current market price, the DCF valuation suggests that Delta is significantly overvalued relative to its current market price. This implies that the market may have a more optimistic expectation regarding Delta's future cash flow generation, profitability improvement, and long-term growth prospects. This result is also highly drive by Delta's relatively large debt balance which is consistent with the capital-intensive nature of the airline industry, where companies frequently use debt financing to acquire aircraft and maintain operations.

Appendix

Page 9: Sensitivity Analysis & Interpretation

Sensitivity Analysis, Interpretation & Conclusion					
WACC  / Terminal 	1.50%	2.00%	2.50%	3.50%	4.00%
7.00%	43.37	48.89	55.64	74.93	89.39
8.00%	32.88	36.63	41.07	52.89	61.02
8.90%	25.87	28.64	31.85	40.04	45.39
10.00%	19.32	21.32	23.59	29.16	32.65
11.00%	14.68	16.22	17.93	22.04	24.54
Sensitivity Analysis					
	Bear	Base	Bull		
- Implied share price range	14.68	31.85	89.39		
- Nearly the entire grid falls below the current \$84.11 Stock Price.					
Our sensitivity grid reveals that the current \$84.11 stock price is only justified under extreme assumptions, such as a 7.0% WACC and 4.0% perpetual growth—scenarios that produce an \$89.39 valuation. However, a 7.0% WACC is unrealistic for Delta given its beta of 1.21, while 4.0% growth significantly exceeds long-term GDP forecasts for a mature airline. Therefore, the market appears to be pricing in a best-case scenario that our conservative base case does not support, reinforcing our conclusion that Delta is overvalued.					
- DCF implied value \$31.85 vs current price of \$84.11 is 62.10% below market					
- Suggest either market is pricing more optimistic long-term growth assumptions, or DCF is missing value sources the market rewards					